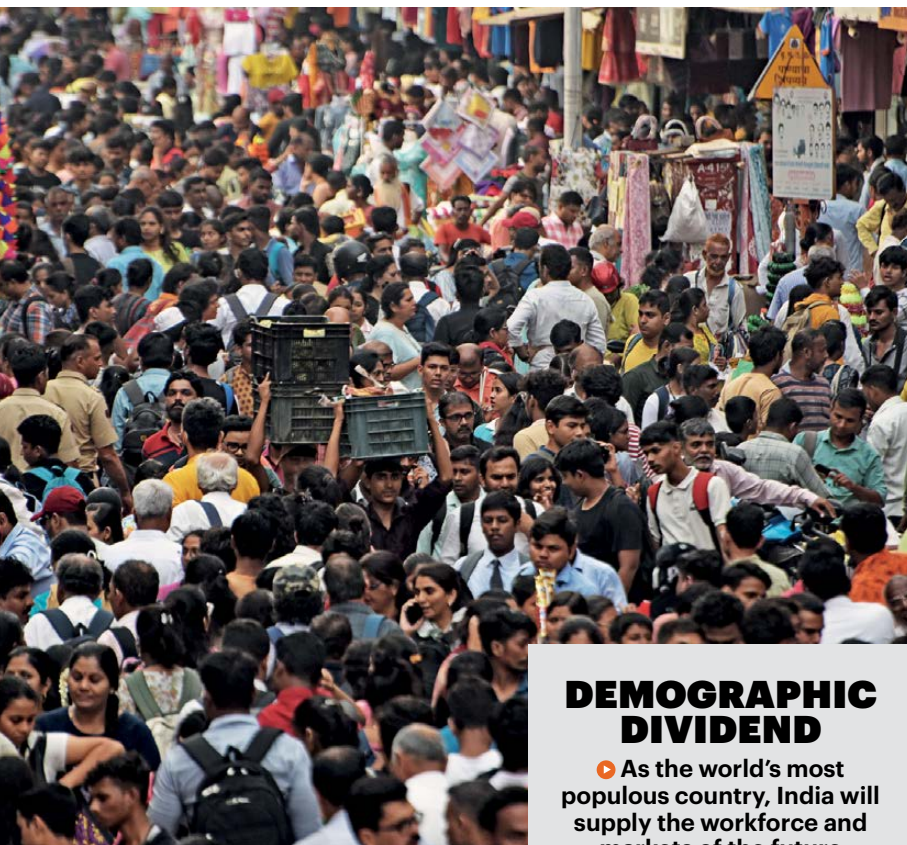




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According to de Guzman of Moody's, challenges to the economy include its significant exposure to environmental and social risks. In particular, the relatively large share of the labour force involved in agriculture renders the broader economy susceptible to climate shocks, such as irregular monsoons, flooding, as well as heat and water stress, he says. Low and unevenly distributed incomes, as well as unequal access to high-quality education and other basic services, could also impair progress towards sustaining high growth over the medium- to long term, if not addressed.

"Moreover, India's investment climate and regulatory quality—while having shown significant improvement over the past decade—remain weak when compared to many of its emerging market peers, although gains in addressing other shortcomings such as poor

DEMOGRAPHIC DIVIDEND

- As the world's most populous country, India will supply the workforce and markets of the future
- However, a growing population needs more resources

1.42 BILLION
TOTAL POPULATION (2022)

0.70%
ANNUAL POPULATION GROWTH (2022)

67 YEARS
LIFE EXPECTANCY AT BIRTH (2021)

11.9%
SHARE OF THE POPULATION LIVING ON LESS THAN \$2.15 A DAY (AT 2017 PPP*) IN 2021

*PURCHASING POWER-ADJUSTED PRICES
SOURCE WORLD BANK

infrastructure have contributed to the resilience of growth in recent years," says de Guzman.

India is hoping to significantly raise the share of manufacturing in GDP in the coming years from about 17% at present to 25% in the coming years. Efforts are already underway and some headway seems to have been made through measures such as production-linked incentive (PLI) scheme for 14 sectors. The scheme is yet to fully take off with just ₹4,415 crore of incentives disbursed and ₹1.03 lakh crore of investments. Physical infrastructure—in terms of both capacity addition and modernisation as well as new projects—is also a key focus area with a budgeted capex of ₹10 lakh crore this fiscal.

As many as 248.2 million people have moved out of multidimensional poverty in the nine years to 2022-23, according to a recent NITI Aayog report. However, ensuring adequate social infrastructure—healthcare and education—will remain a key priority for the government as well as further bridging the financial inclusion divide by providing not only banking services, but also adequate credit investment and insurance options to the bottom of the pyramid. Sustainability and green energy are two other areas the government will have to focus on to ensure that India remains ahead in emerging technologies such as green hydrogen. Plus, there are also challenges from emerging digital technologies in the field of AI and machine learning.

The following pages delve into some of these themes to identify and chart out an agenda and aspiration of what India at 2029 should and can be. One thing is for sure: it will be one interesting journey. **BT**

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